

4.

CASE #	CASE NAME	HEARING NAME
CVRI2602861	ALRAHAMAN, LLC vs LATHAM MANAGEMENT AND CONSULTING SERVICE, INC.	MOTION TO STRIKE COMPLAINT

Tentative Ruling:

Please see below

5.

CASE #	CASE NAME	HEARING NAME
CVRI2602861	ALRAHAMAN, LLC vs LATHAM MANAGEMENT AND CONSULTING SERVICE, INC.	DEMURRER ON COMPLAINT

Tentative Ruling:

Plaintiff Alrahaman, LLC alleges that Defendants Latham Management and Consulting Service, Inc. and Kali Pradip Chaudhuri owned vacant land in San Jacinto that Plaintiff intended to develop as a service station and convenience store. During negotiations beginning in August 2020, Defendants allegedly represented that they would complete off-site/on-site improvements, ingress/egress improvements, and utility improvements needed for that development. Two months later, the parties entered into a Vacant Land Purchase Agreement and Joint Escrow Instructions. Section no. 8 of the Agreement allegedly required the seller to complete the improvements within 12 months after closing, subject to three 30-day extensions.

Escrow closed on 1/30/23, and Plaintiff alleges that it paid \$2,474,000. Defendants allegedly did not complete the improvements despite later stating that they were doing so. Plaintiff alleges that it would not have purchased the property had it known Defendants would not perform and that it also incurred expenses on design and development plans. The complaint, filed 5/11/26, asserts: (1) relief based on rescission of contract; breach of contract; (2) relief based on rescission of contract; fraud; (3) relief based on rescission of contract; negligent misrepresentation; (4) constructive trust.

Now, Defendants demur to the 2nd, 3rd, and 4th causes of action for failure to state facts sufficient. They argue that the fraud and negligent misrepresentation claims omit who said what, to whom, when, where, and by what means. They argue that the pleading only alleges a promise. They assert that the pleading improperly group Defendants together. Defendants also argue that constructive trust is a remedy rather than a cause of action and that Plaintiff does not identify traceable property. Defendants concurrently move to strike the punitive damages because the complaint does not plead oppression, fraud, or malice, or the corporate authorization or ratification. Defendants argue that the same deficiencies leave punitive damages

unsupported, that a contract breach cannot support punitive damages, and that Plaintiff has not alleged conduct, or corporate authorization or ratification.

In opposition, Plaintiff argues that the complaint adequately identifies the August 2020 negotiations, promised improvements, reliance, and damage for the misrepresentation claims. Plaintiff argues that Defendants acted in concert with one another and were alter egos of one another. Plaintiff also argues that captions do not control, the \$2,474,000 payment supports constructive trust relief, and that the alleged fraud supports punitive damages. Plaintiff alternatively requests leave to amend.

In reply, Defendants argue that the oppositions do not cure the missing particulars. They argue that nonperformance does not show intent not to perform when the promise was made. They assert that the asserted sale proceeds is not a specific property presently held by either Defendant to which a constructive trust could attach. They contend that conclusory allegations do not support punitive damages against either Defendant.

Analysis

A. Meet and Confer

CCP §430.41(a) requires a meet and confer process via **telephone, video conference, or in person** before filing a demurrer. The meet and confer process requires the moving party to identify the causes of action or allegations subject to attack and the responding party must provide legal support for its position. CCP §435.5 imposes a parallel requirement for a motion to strike. (Code Civ. Proc., §§ 430.41(a), 435.5(a).) Here, defense counsel made repeated telephone and email attempts between June 2026 and 7/31/26 to schedule a meet-and-confer conference, but Plaintiff's counsel did not substantively respond to those requests. (Yang declaration filed August 5, 2026, p. 2.) Defense counsel complied.

B. Demurrer

A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (CCP § 430.10(e).) In evaluating a demurrer, the court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Moore v. Regents of University of California* (1990) 51 Cal.3d 120, 125.) The court assumes the truth of all material facts which have been properly pleaded, of facts which may be inferred from those expressly alleged, and of any material facts of which judicial notice has been requested and may be taken. (*Crowley v. Katleman* (1994) 8 Cal.4th 666, 672.) If the complaint, read liberally, states a cause of action on any theory, the demurrer must be overruled. (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38.) If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

The real issue here is that the complaint generally groups Latham and Chaudhuri together as “Defendants.” It does not identify the natural person who made any representation, the person who received it for Plaintiff, the place or medium of contact, or the authority of any speaker to bind Latham.

1. 2nd Cause of Action: Fraud

The elements of fraud are “(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or ‘scienter’); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.” (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638.) Typically, the elements of fraud must be specifically alleged. (*Stanfield v. Starkey* (1999) 220 Cal.App.3d 59, 73.) “This particularity requirement necessitates pleading facts which ‘show how, when, where, to whom, and by what means the representations were tendered.’” (*Id.*, citing *Hill Transp. Co. v. Southwest Forest Industries, Inc.* (1968) 266 Cal.App.2d 702, 707.) A claim against a corporation must also “allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.” (*Lazar v. Superior Court, supra*, 12 Cal.4th at 645.)

Here, the complaint alleges only that collective “Defendants” made representations “at the time of the negotiations” beginning in August 2020 and promised to complete improvements. (Compl., ¶¶ 10, 25.) It does not identify the speaker, the date or setting, the means of communication, or the speaker’s authority. This is not sufficient. The court sustains the demurrer with 30 days leave to amend.

2. 3rd Cause of Action: Negligent Misrepresentation

The elements for negligent misrepresentation are: (1) the defendant’s assertion of an untrue fact; (2) the fact was believed by the defendant to be true; (3) the defendant lacked a reasonable ground for the belief; (4) the defendant intended to induce the plaintiff’s reliance upon the representation; (5) plaintiff’s justifiable reliance upon the representation; and (6) resulting damage. (*Melican v. Regents of University of California*) (2007) 151 Cal.App.4th 168, 182.) It ordinarily must involve “a past or existing material fact,” not a “promise to perform at some future time.” (*Tarmann v. State Farm Mutual Automobile Insurance Co.* (1991) 2 Cal.App.4th 153, 158.)

Here, the complaint alleges that “Defendants represented to Plaintiff ... that Defendants *would* complete certain improvements.” (Compl., ¶ 36, emphasis added.) It also alleges that Defendants lacked “reasonable grounds for believing” that promise. (*Id.*, ¶37.) It also groups Defendants together and fails to identify the speaker, recipient, time, place, means of communication, or the speaker’s authority to act for the corporate defendant. The court sustains the demurrer with 30 days leave to amend.

3. 4th Cause of Action: Constructive Trust

A constructive trust “is an equitable remedy, not a substantive claim for relief.” (*PCO, Inc. v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro, LLP* (2007) 150

Cal.App.4th 384, 398.) It is to prevent unjust enrichment and to prevent a person from taking advantage of his or her own wrongdoing. (*Ibid.*) “Before a constructive trust can be imposed, the plaintiff must prove that the defendant’s acquisition of the property was wrongful.” (*Ibid.*) To obtain a constructive trust, the plaintiff must demonstrate: (1) the existence of res (i.e. property or some interest in the property), (2) the plaintiff’s right to that res, and (3) the defendant’s acquisition of the res by some wrongful conduct. (*Optional Capital, Inc. v. DAS Corp.* (2014) 222 Cal.App.4th 1388, 1402.) It can include fraud, accident, mistake, undue influence or any other wrongful act. (*Ibid.*)

Here, the complaint alleges that Defendants received a benefit: the \$2,474,000 purchase payment. (Compl., ¶¶ 48, 52.) Defendants accepted the payment after promising to complete development improvements, did not complete any improvements, and retained the payment despite Plaintiff’s allegation that it would not have consented to the purchase absent performance. (*Id.*, ¶¶ 47, 49-52.) Plaintiff also alleges notice of rescission and an offer to restore benefits. (Compl., ¶¶ 22, 30, 40.) Since the allegations state a potential claim on an alternative theory, the court overrules the demurrer.¹

C. Motion to Strike

A motion to strike may be applied to any irrelevant, false or improper matter, or any pleading not drawn or filed in conformity with the laws of the state, court rule, or court order. (CCP § 436.) The grounds must appear on the face of the pleading or judicial notice. (*Id.* at § 437.) A motion to strike is widely used to challenge portions of causes of action seeking punitive damages, but may not substitute for a demurrer to an entire cause of action as a “line item veto.” (*PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682-83.)

In order to plead punitive damages, a plaintiff must plead allegations of fraud, malice, or oppression with sufficient particularity. (*Hilliard v. AH Robbins Co.* (1983) 148 Cal.App.3d 374, 392.) Generally, claims for punitive damages must be pled with particularity as to the facts constituting the alleged egregious conduct. (*G.D. Searle & Co. v. Superior Court* (1975) 49 Cal.App.3d 22, 29.) However, the court may read the complaint as a whole so that conclusory allegations may be sufficient when read in context with the facts alleged as to the defendant’s wrongful conduct. (*Perkins v. Superior Court (General Tel. Directory Co.)* (1981) 117 Cal.App.3d 1, 6-7.)

Here, Defendants targets paragraph 34 and the punitive damages prayer under the 2nd cause of action. Given the ruling to sustain the demurrer to that cause of action, the motion to strike is deemed moot.

¹ Based on the allegations, ignoring the “constructive trust” title, a potentially viable cause of action is for unjust enrichment. The elements for a claim of unjust enrichment are receipt of a benefit and unjust retention of the benefit at the expense of another. (See, e.g., *Lectrodryer v. SeoulBank* (2000) 77 Cal.App.4th 723, 726.)